GHAN PROJECTS

JV Partnership Guide

How to structure smarter joint venture property development opportunities in Melbourne

Structure. Alignment. Risk management.

GHAN PROJECTS

Melbourne Property Development Consultancy

Before you enter a development joint venture, understand the structure properly

Many joint venture property development opportunities sound attractive at a high level. One party may have land, another may have capital, capability, or development experience. But unless the structure, responsibilities, risk allocation, profit-sharing, decision-making, and exit pathways are clearly understood, a JV can become far more complex than expected.

This guide outlines the key issues we assess when reviewing JV development opportunities across Melbourne so owners and investors can make clearer, lower-risk decisions before committing.

Who this is for

- Landowners considering partnering instead of selling
- Investors looking to participate in a development project
- Developers assessing JV opportunities with site owners
- First-time participants wanting to understand how JV structures work
- Parties comparing whether a straight acquisition or a JV makes more sense

How to use this guide

- Use this as an early-stage JV screening and discussion tool
- Review each section before agreeing to headline terms
- Identify unknowns that require legal, accounting, planning, or feasibility advice
- Use it to uncover misalignment and deal risk early

> *This guide is for discussion and screening purposes only. It does not constitute legal, financial, or tax advice. All parties should obtain independent professional advice before entering into any joint venture agreement.*

Section 1: Is a JV even the right structure?

Not every site or partnership lends itself to a joint venture. Before discussing terms, both parties should assess whether a JV is the optimal structure or whether a simpler arrangement would reduce risk and complexity.

1. **Why a JV may suit a site owner**

   A JV allows the landowner to retain upside beyond sale price, participating in development profit rather than simply transacting at current market value.

2. **Why a JV may suit a capital partner or developer**

   Partnering with a site owner can reduce acquisition cost and align incentives, allowing the developer to deploy capital into the project rather than the land.

3. **When a sale may be better than a JV**

   If the landowner's priority is certainty, speed, and simplicity, a clean sale with known terms may deliver a better risk-adjusted outcome than a multi-year JV.

4. **When a site is not strong enough for a JV**

   Sites with marginal feasibility, significant planning risk, or limited development potential may not generate enough margin to justify a JV structure for both parties.

5. **Why emotion and trust are not enough on their own**

   Relationships matter, but commercial structures must stand on their own. A JV needs to work when tested by delay, cost pressure, or disagreement.

6. **Why feasibility must come before structure discussions**

   Agreeing to terms before understanding what the site can realistically deliver is one of the most common mistakes in JV negotiations.

7. **The importance of understanding risk, not just upside**

   Both parties must understand what they stand to lose, not just what they hope to gain. Downside modelling is critical to informed decision-making.

8. **The difference between land contribution and active development capability**

   Contributing a site is not the same as contributing development management. Each requires different skills, time, risk tolerance, and accountability.

Section 2: The core foundations of a strong JV

A well-structured JV is built on clear foundations. These are the elements that must be established early and documented properly before any agreement is executed.

9 Clear ownership of the land

Confirm title, encumbrances, caveats, and any third-party interests before entering discussions. Ownership complexity creates JV complexity.

10 Clear understanding of site feasibility

An independent feasibility assessment should confirm development potential, likely yield, cost estimates, revenue assumptions, and margin expectations.

11 Agreed project vision and likely development outcome

Both parties should share a common view of the target product — number of dwellings, quality level, market positioning, and design intent.

12 Realistic end-value assumptions

Revenue projections must be based on comparable evidence, not aspirational pricing. Overestimating end values is a primary source of JV disputes.

13 Realistic cost assumptions

Construction, consultant, authority, finance, and contingency costs must be properly estimated and stress-tested against current market conditions.

14 Defined roles and responsibilities

Who manages the project day-to-day? Who engages consultants? Who handles council? Ambiguity in roles leads to delay, duplication, and conflict.

15 Agreed decision-making process

Establish which decisions require joint approval, which can be made independently, and how deadlocks are resolved.

16 Clear communication expectations

Agree on reporting frequency, meeting cadence, financial transparency, and escalation protocols from the outset.

17 Agreed timeframes and key milestones

Planning lodgement, permit receipt, construction start, practical completion, and settlement — key dates should be mapped and agreed.

18 Clear approach to disputes and underperformance

If one party fails to deliver on agreed responsibilities, what recourse exists? Define the process before it becomes necessary.

Section 3: Commercial structure and contributions

The commercial framework determines how value, cost, risk, and reward flow between parties. Getting this right is fundamental to a JV that works for both sides.

19 What each party is contributing

Document all contributions clearly: land, cash equity, guarantees, development management, relationships, expertise, or time.

20 Land contribution vs cash contribution

These are fundamentally different asset types. Valuation methodology, timing of contribution, and risk profile must be carefully assessed.

21 Development management contribution

Active project management carries significant time, cost, and liability. Its value should be properly recognised in the JV structure.

22 Guarantees and borrowing support

Who provides personal guarantees for project finance? This is a major risk factor that must be quantified and allocated fairly.

23 Profit share methodology

Define precisely how profit is calculated — after which costs, at what point, and on what basis. Ambiguity here is a leading cause of disputes.

24 Preferred return or priority repayment concepts

Consider whether one party receives a priority return on their contribution before profits are shared. This protects the higher-risk contributor.

25 Reimbursement of costs

How and when are pre-development, holding, and consultant costs reimbursed? From project funds or from profit distribution?

26 How consultant and authority costs are funded

Planning, design, engineering, and council costs accumulate before any revenue. Agree who funds these and how they are recovered.

27 Treatment of cost overruns

If the project exceeds budget, who funds the shortfall? Is it shared equally, proportionally, or allocated to the managing party?

28 What happens if one party cannot continue funding

A party's inability to fund can stall or destroy a project. Define the consequences and remedies in advance.

Section 4: Risk allocation and legal considerations

Legal structure and risk allocation are the foundation of any enforceable JV. Without proper advice and documentation, both parties are exposed to significant and often avoidable risk.

29 Choosing the right legal structure

Unit trust, company, partnership, or contractual JV — each has different liability, tax, and governance implications. Structure must suit the deal.

30 Need for proper legal advice before heads of agreement

Even a non-binding heads of agreement can set expectations and create obligations. Obtain legal advice before signing anything.

31 Title, covenant, easement, and planning due diligence

A thorough review of the site's legal position is essential. Restrictive covenants, easements, or planning overlays can fundamentally change feasibility.

32 Tax structuring and accounting advice

GST, CGT, land tax, stamp duty, and income tax all impact JV returns. Both parties need independent tax advice tailored to their circumstances.

33 Insolvency and default risk

What happens if one party becomes insolvent? The agreement must address this scenario explicitly to protect the continuing party and the project.

34 Personal guarantee exposure

Understand the full extent of personal liability each party is assuming. Guarantees can extend well beyond the project itself.

35 Decision deadlock risks

If parties cannot agree on a critical decision, what breaks the deadlock? Without a mechanism, projects can be paralysed.

36 Exit rights and forced sale mechanisms

Define how either party can exit, under what conditions, and what the financial consequences are. This is essential for managing worst-case scenarios.

37 Insurance and liability allocation

Construction, public liability, professional indemnity, and title insurance should all be considered and allocated.

38 Importance of documenting more than just a handshake agreement

Verbal agreements and informal arrangements are a leading cause of failed JVs. Proper documentation protects both parties.

Section 5: Project control and delivery risk

Successful JV projects require clarity on who controls key decisions during delivery. Without clear governance, projects lose time, budget, and alignment.

39 Who controls planning and design consultants

The party managing consultant appointments must have clear authority and budget parameters to avoid delays and scope creep.

40 Who approves the design direction

Design decisions impact cost, yield, and end value. Approval authority and process must be agreed before design commences.

41 Who controls the builder engagement process

Tender management, contract negotiation, and builder selection are critical. Define who leads this process and what approvals are required.

42 How variations are handled

Construction variations can significantly impact budget and timeline. Agree on thresholds, approval processes, and cost allocation in advance.

43 How programme delays are managed

Delays affect holding costs, finance costs, and market timing. Define responsibilities and consequences for project delays.

44 Who signs off on major commercial decisions

Sales strategy, pricing, settlement terms, and lease negotiations — agree which decisions need joint sign-off.

45 Reporting and transparency requirements

Regular financial reporting, project updates, and open-book accounting build trust and reduce the risk of surprises.

46 How sales, leasing, or exit strategy decisions are made

The exit strategy directly impacts returns. Both parties must agree on the approach, timing, and authority for these decisions.

Section 6: Red flags before you proceed

These warning signs should prompt a pause in negotiations. Each one represents a structural or commercial weakness that can undermine the partnership.

47 **Unrealistic profit expectations**

48 **No clear decision-maker**

49 **Poor feasibility or missing due diligence**

50 **Misalignment on timing, risk, or project quality**

51 **Reliance on verbal promises**

52 **Weak documentation**

53 **One-sided contribution assumptions**

54 **No contingency planning**

55 **Relationship-driven deal with no commercial discipline**

Questions every JV party should ask before signing

Before formalising any joint venture arrangement, both parties should be able to answer each of the following questions with clarity and confidence. If any answer is unclear, further work is needed before commitment.

01 What is each party actually contributing — in measurable, documented terms?

02 What is the realistic project margin after all costs, contingencies, and finance?

03 Who controls key decisions — and what happens when there is disagreement?

04 What happens if planning approvals take significantly longer than expected?

05 What happens if construction or consultant costs rise materially?

06 What happens if one party wants to exit the arrangement?

07 How are disputes resolved — and who bears the cost of resolution?

08 How is profit distributed, when is it distributed, and on what basis?

09 Who carries the downside risk if the project underperforms?

10 Would both parties still proceed under a conservative feasibility scenario?

Common reasons JV deals fail

- ✗ The deal is built on optimism instead of evidence
- ✗ Roles are vague and expectations are different
- ✗ Feasibility is weak or incomplete
- ✗ Profit share is agreed before contribution value is properly assessed
- ✗ One party expects control without equivalent risk or contribution
- ✗ There is no clear deadlock or exit mechanism
- ✗ Cost overruns are not addressed upfront
- ✗ Legal and tax advice comes too late in the process
- ✗ The relationship is trusted, but the structure is weak
- ✗ The downside scenario has not been properly considered

> *A joint venture should not just look fair when things go well. It needs to remain workable when pressure, delay, or disagreement enters the project.*

Quick JV Readiness Score

Use the 55 checkpoints outlined in this guide to assess your JV opportunity. Score each item as either a positive check (the issue has been properly addressed) or a gap (more work or advice is needed). Then use the scale below to assess overall readiness.

45–55 **Strong JV Candidate**
Structurally sound in principle. The opportunity has been well assessed and both parties appear aligned on key commercial, legal, and operational fundamentals.

35–44 **Conditional Opportunity**
Possible, but needs deeper legal and commercial review. Key gaps exist that must be resolved before proceeding. Seek independent professional advice on identified weaknesses.

<35 **High-Risk Structure**
Major gaps or risks are likely to undermine the partnership. Significant structural, commercial, or legal issues need to be addressed before this JV should proceed in its current form.

This scorecard is intended as an indicative self-assessment tool. It does not replace independent legal, financial, or planning advice. A high score does not guarantee a successful JV — it indicates that key structural issues have been considered. Ghan Projects can help you assess each area in more detail.

NEXT STEP

Want us to review your JV opportunity properly?

Ghan Projects helps Melbourne landowners, investors, and development partners assess joint venture opportunities with a practical, commercially focused approach. We help identify feasibility gaps, role ambiguity, structural weaknesses, and project risks early — so parties can make better decisions before committing to a JV pathway.

OUR SERVICES

- JV feasibility review
- Development strategy advice
- Acquisition and site due diligence
- Risk identification
- Consultant coordination
- Pre-commitment project review

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